

6.2.3 Project Portfolio Management Process

6.2.3.1 Purpose

The purpose of the Project Portfolio Management Process is to initiate and sustain necessary, sufficient, and suitable projects that support the organization's strategic objectives. This process ensures that projects are appropriately prioritized, resourced, authorized, and continually justified throughout their life cycle.

6.2.3.2 Outcomes

As a result of successful implementation of the Project Portfolio Management Process:

- a) Business venture opportunities, investments, or necessities are qualified, prioritized, and selected in alignment with strategic objectives.
 - b) Resources and budgets are identified and allocated to each authorized project.
 - c) Project management accountabilities and authorities are defined.
 - d) Projects are sustained that continue to meet agreement and stakeholder requirements.
 - e) Projects that no longer justify continued investment are redirected or terminated in accordance with organizational policy and agreements.
 - f) Portfolio decisions are documented and traceable to strategic criteria and investment rationale.
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6.2.3.3 Activities and Tasks

The organization shall implement the following activities and tasks in accordance with applicable organizational policies and procedures.

6.2.3.3.1 Project Initiation

This activity identifies, prioritizes, and establishes projects aligned with strategic objectives.

- **6.2.3.3.1.1** Identify and analyze new business opportunities, strategic

initiatives, or undertakings consistent with organizational strategy, life cycle models (6.2.1), and infrastructure capabilities (6.2.2).

- **6.2.3.3.1.2** Prioritize candidate projects using defined portfolio criteria (e.g., strategic alignment, return on investment, risk, resource capacity).
 - **6.2.3.3.1.3** Select and establish projects that meet prioritization thresholds and strategic needs.
 - **6.2.3.3.1.4** Define project accountabilities and authorities, including designated project managers or responsible entities.
 - **6.2.3.3.1.5** Identify expected outcomes, benefits, and strategic contributions of each project.
 - **6.2.3.3.1.6** Allocate required organizational resources and budgets to support approved project objectives.
 - **6.2.3.3.1.7** Identify and manage multi-project interfaces, including enabling systems and common elements used across projects.
 - **6.2.3.3.1.8** Specify project reporting requirements and review milestones, including technical and management reviews, consistent with Project Processes (Clause 6.3).
 - **6.2.3.3.1.9** Formally authorize projects to execute approved project plans, granting the necessary authority to initiate project activities.
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6.2.3.3.2 Portfolio Evaluation

This activity evaluates ongoing projects to ensure their continued strategic and economic justification.

- **6.2.3.3.2.1** Establish periodic evaluation intervals or event-driven triggers (e.g., major milestones, budget cycles, strategic realignments).
 - **6.2.3.3.2.2** Evaluate project progress against defined objectives, investment criteria, system life cycle plans, and compliance with organizational directives.
 - **6.2.3.3.2.3** Assess ongoing viability based on service need, implementation progress, investment benefits, and evolving strategic priorities.
 - **6.2.3.3.2.4** Redirect projects that remain strategically valuable but require changes in scope, schedule, or resources.
 - **6.2.3.3.2.5** Cancel or suspend projects whose disadvantages (cost, risk, strategic misalignment) outweigh continued investment benefits, where agreements permit.
 - **6.2.3.3.2.6** Document evaluation decisions, including rationale for redirection, continuation, or termination, for audit and traceability.
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6.2.3.3.3 Project Closure

This activity manages the orderly closure of projects.

- **6.2.3.3.3.1** Close, cancel, or suspend projects in accordance with organizational policies, agreements, and evaluation decisions.
- **6.2.3.3.3.2** Ensure that all deliverables, obligations, and documentation are completed or formally terminated.
- **6.2.3.3.3.3** Retain project records and documentation as required by organizational policy and regulatory requirements.
- **6.2.3.3.3.4** Conduct post-closure reviews to capture lessons learned and strategic insights for future portfolio decisions.
- **6.2.3.3.3.5** Formally release the project from the portfolio, updating portfolio records and investment baselines.